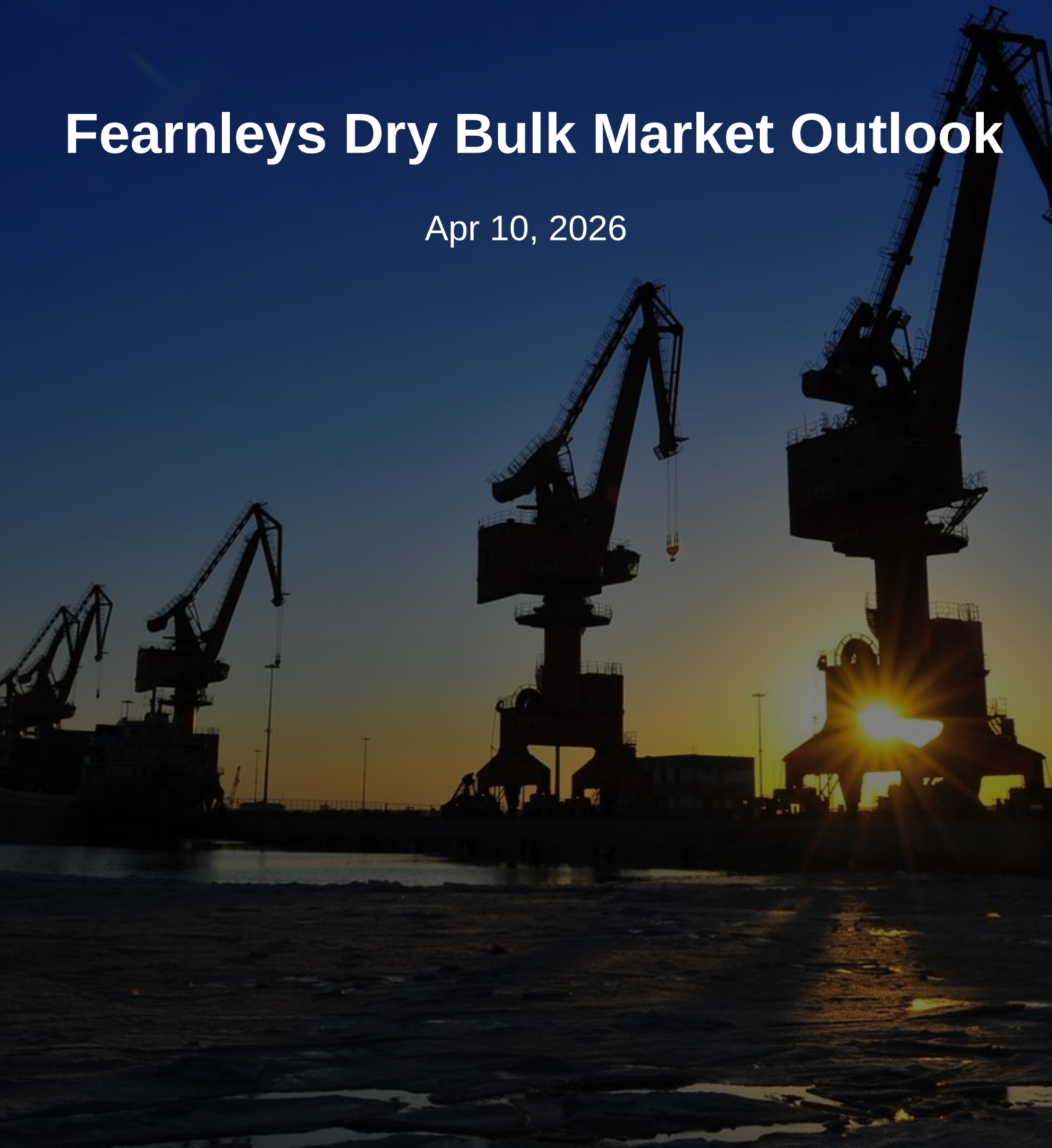


Fearnleys Dry Bulk Market Outlook

Apr 10, 2026



SUMMARY AND OUTLOOK

In our previous update sent in late February, we wrote:

We don't see any significant changes to the bullish factors we listed in our previous report in January. Barring any black swans, it is extremely hard to see how March and Q2 markets will turn significantly lower than expected (similar, or lower levels than last year). In this regard, uncertainty is higher in Q3 and Q4, but the longer leading indicators we use strongly suggest 2026 will average higher than 2025 throughout the whole year. We still expect a cycle downturn in 2027.

A black swan event has occurred, which changes the market outlook for the worse. Fundamentals are still likely to remain positive through the second quarter, as there is always a lag before higher energy costs start to impact dry bulk markets. However, the risk of a weaker second half of this year than last year has increased substantially. This eventual weakness is likely to last through the first half of 2027 as well. The upward price moves in crude oil and refined products are such that historical correlations clearly suggest dry bulk markets will be negatively impacted. In this report, under the macro-economic section, we always include a chart displaying the year-on-year change of crude oil prices with a 1-year lead on the year-on-year change of the BDI. Since our previous report in late February, this chart has changed quite dramatically.

What if the Strait of Hormuz opens up fully? The outlook will be relatively brighter. However, damages to energy infrastructure in the Middle East, along with lingering uncertainty, likely mean energy prices will not quickly fall back to pre-war levels. It is also important to remember that the outlook is not all dependent on the Hormuz situation. Other factors, such as coincident economic indices, average cycle durations, falling global credit growth, weakening momentum of industrial metals prices and high iron ore inventories in China, all suggest that fundamentals are close to peaking.

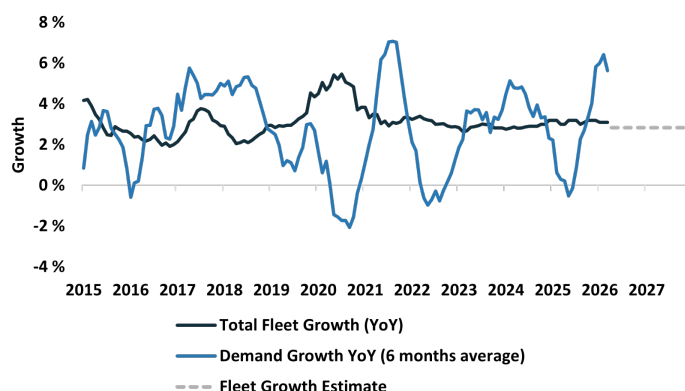
Coal demand will likely increase going forward, though quite surprisingly, there is not much sign of it just yet. The futures curves of Newcastle and Rotterdam benchmark contracts actually increased in contango since the outbreak of the war, suggesting **less** urgency to buy, not more. Through March, seaborne volumes were down slightly on the same period last year, primarily due to relatively high inventories in China and India. Regardless of eventually improving coal demand, we think that over the next year, the problems are that demand for other commodities looks likely to contract, and that seaborne supply of coal is not sufficient to meet a significant increase in demand. The Indonesian government seems intent on using more coal domestically to lower energy costs. Russian supply will not increase as long as the war in Ukraine continues, and Australia does not seem to have much extra capacity.

We revise our earnings estimates for this year down for all segments, and make a slight downward adjustment to our estimates for next year.

Earnings Forecasts 26 and 27

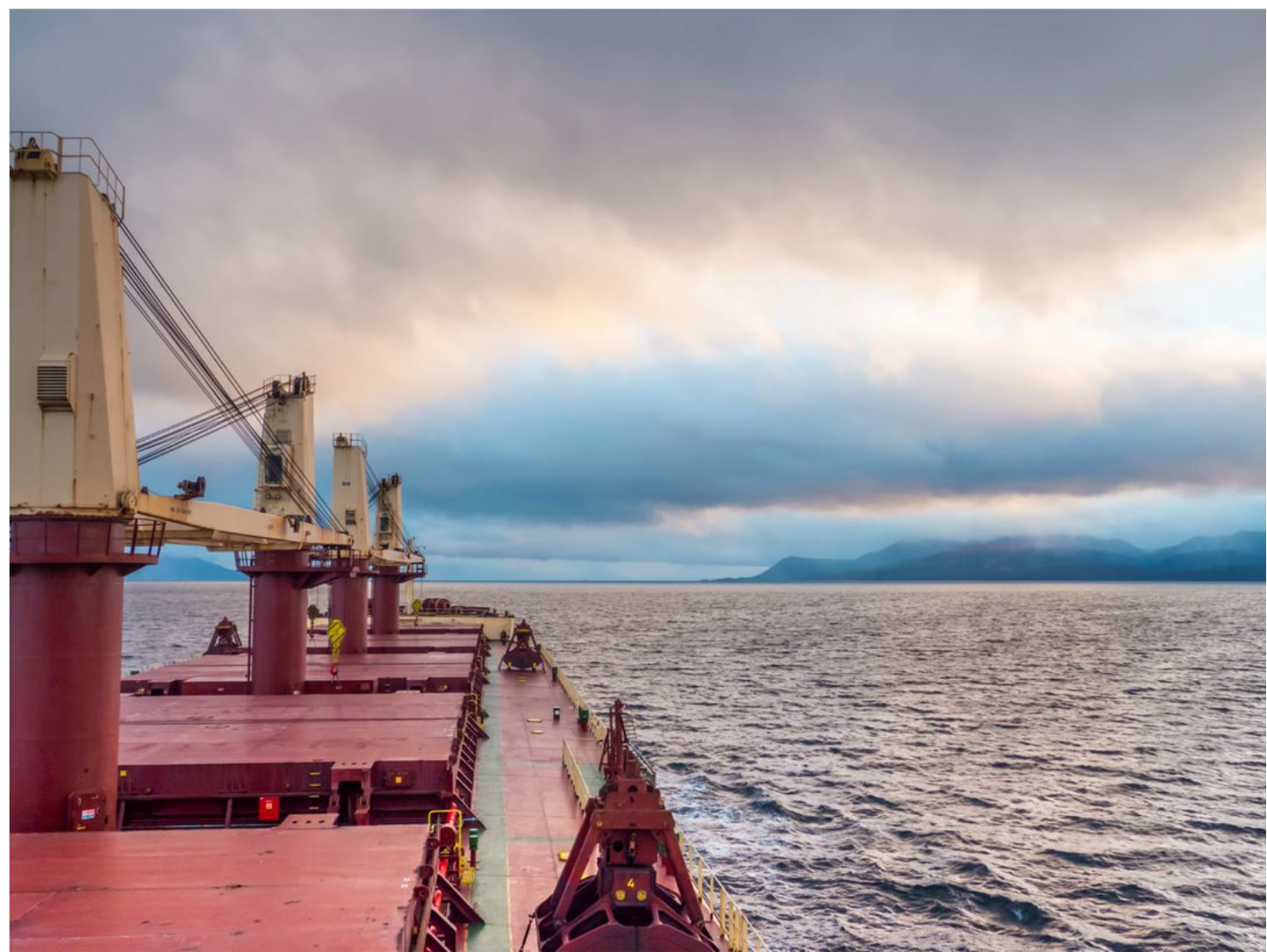
Year	CSTC	P5TC	S11TC	HS7TC
2026 (old)	30–35 USD pd	16–20 USD pd	16–20 USD pd	13–16 USD pd
2026 (new)	20–25 USD pd	13–15 USD pd	13–15 USD pd	11–13 USD pd
2027 (old)	20–25 USD pd	13–16 USD pd	13–16 USD pd	10–13 USD pd
2027 (new)	20–25 USD pd	12–15 USD pd	12–15 USD pd	10–13 USD pd

Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



Fleet Statistics (In Million DWT)

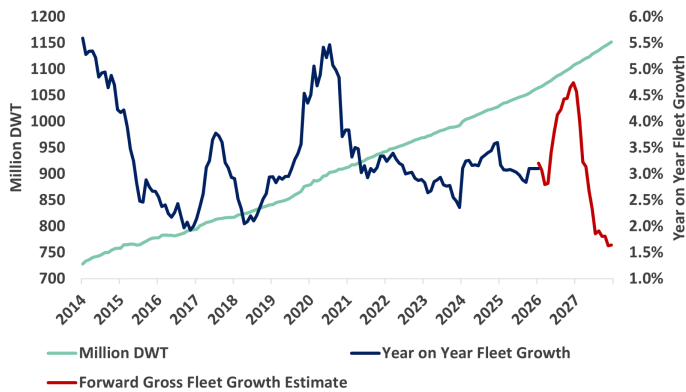
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Hmx	Handy
2025					
Deliveries	36	7.2	9.9	13.1	5.8
Scrapping	3.7	1	1.3	0.1	1.1
Fleet Growth	3.0%	1.9%	3.3%	5.2%	4.1%
2026 YTD					
Deliveries	11.5	1.6	4.3	3.7	1.9
Remaining on Schedule	45	9.5	12.2	9.7	4
Scrapping	0.5	0.3	0.2	0.1	0.5
YoY Fleet Growth (March)	3.2%	1.9%	3.1%	5.2%	2.8%



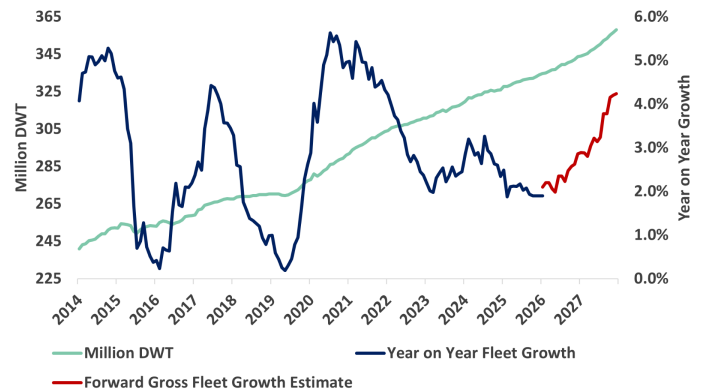


Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Fleet Growth Including Estimate



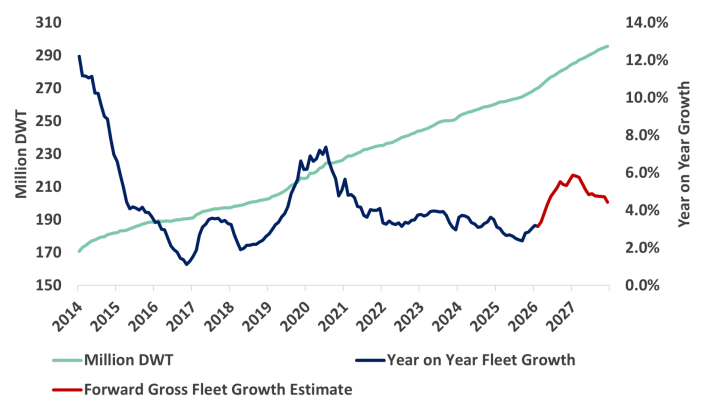
Cape/Newc Fleet Growth Including Estimate



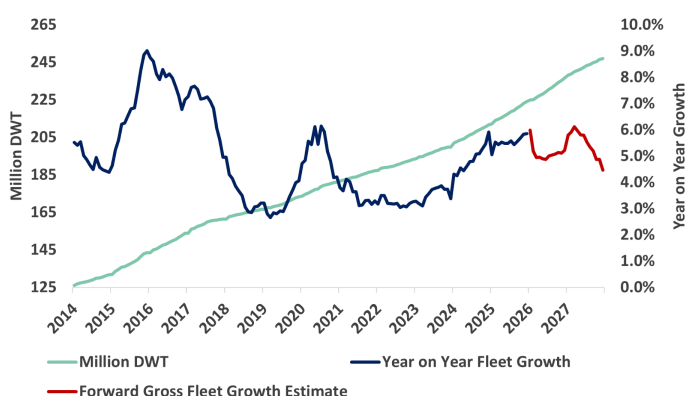
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



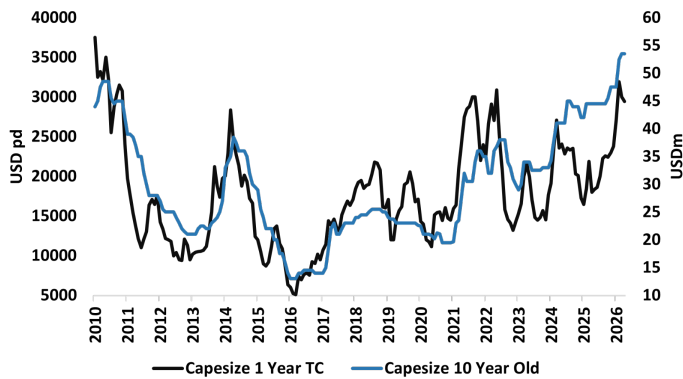
PERIOD RATES AND ASSET VALUES

Capesize and Newcastlemax values have continued climbing over the last few months, with our assessments now the highest since 2008. Values have increased by 50% since 2021, despite annual average earnings being lower each year since then.

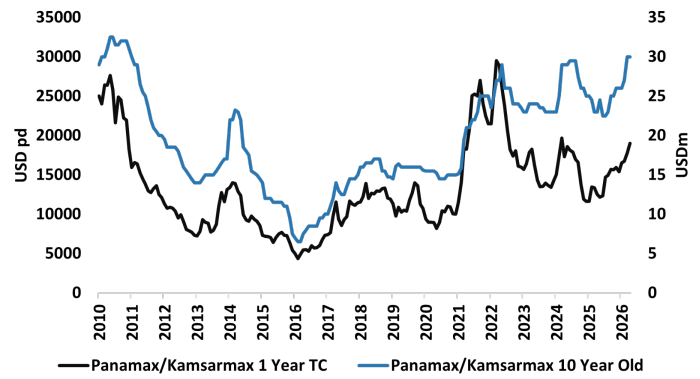
Values for Kamsarmaxes down to Handysizes have climbed to similar or slightly higher levels than the peak reached in 2024, depending on vintage.

In the last six months, our market view has been that all these values would go a bit higher than the 2024 peak this year. However, the Iran war makes this less certain, so most likely values will plateau here.

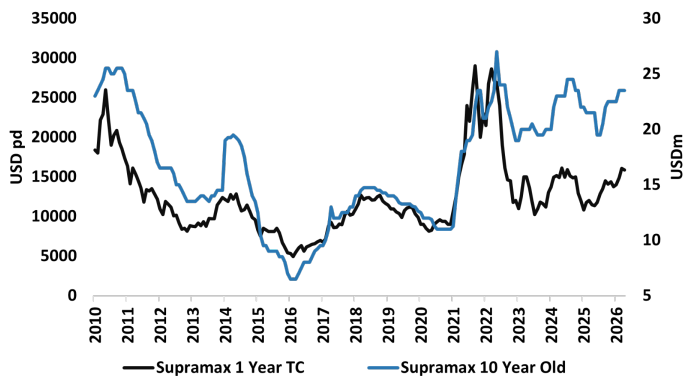
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



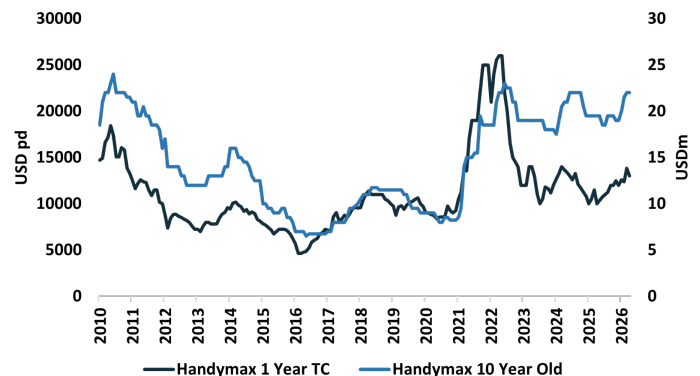
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)



Supramax 1 Year TC vs Supramax 10 Year Old (Japanese)



Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)



Asset Values vs Commodity Prices

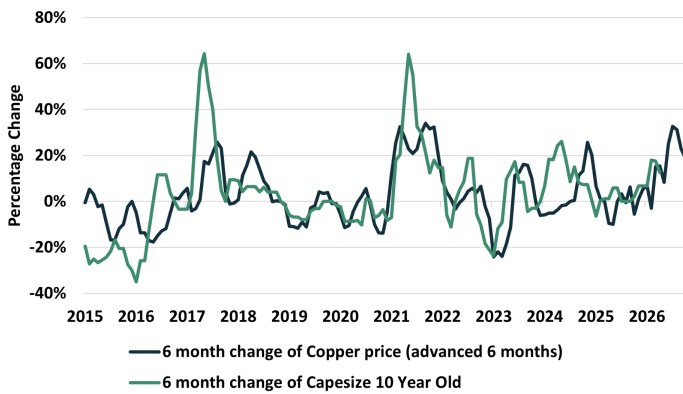
The faltering momentum in industrial metals prices suggest the peak in asset values is near.

The below charts shows the preceding 6 months change in the price of copper, with a 6 months lead of the preceding 6 months change of asset values.

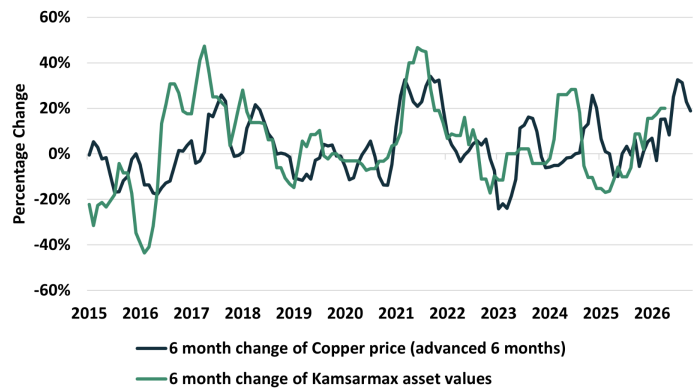
This displays that asset value momentum usually lags the prices of copper (and other industrial metals).

These charts now indicate a peak in values could be seen around the middle of this year (May-July is most likely based on historical correlations).

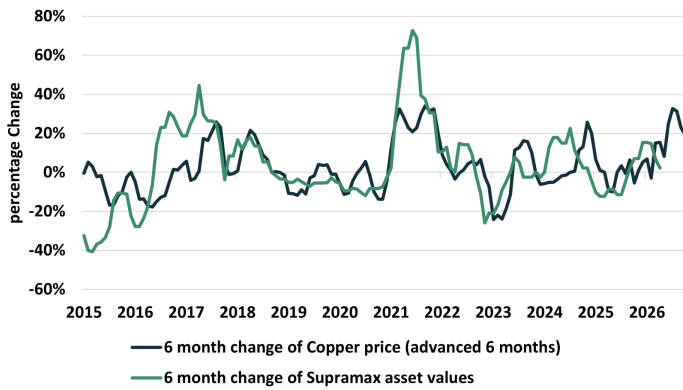
Copper Price 6 Months Change (Lead 6 Months) vs Capesize 10 Year Old



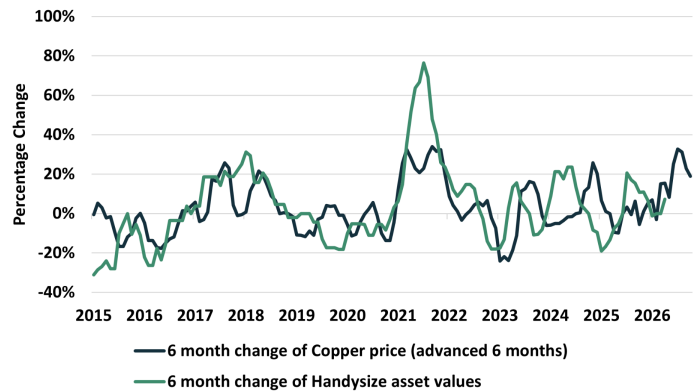
Copper Price 6 Months Change (Lead 6 Months) vs Kamsarmax 10 Year Old



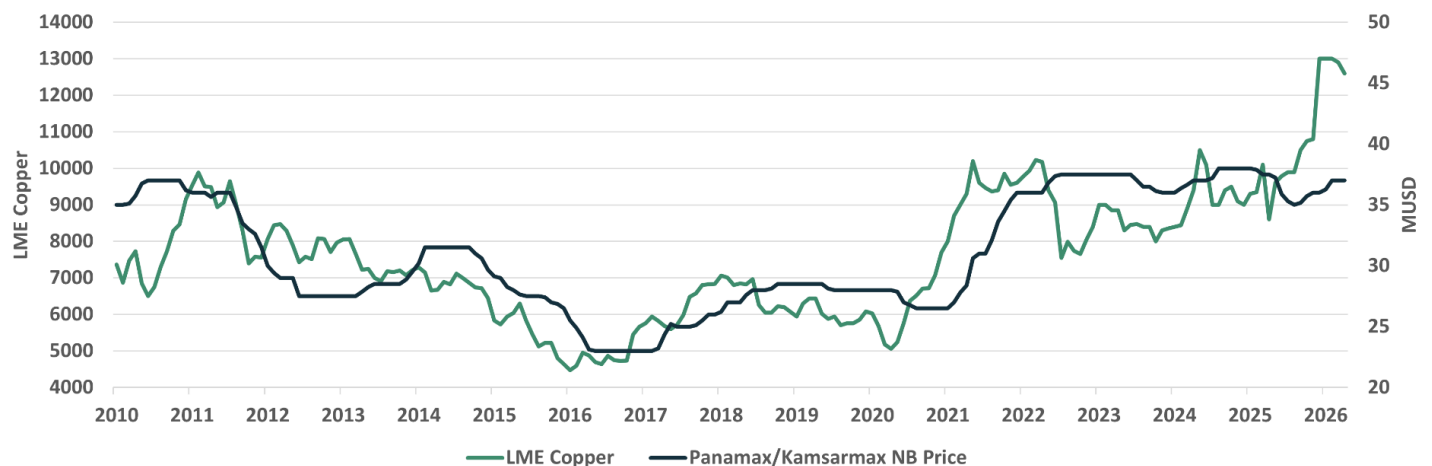
Copper Price vs Supramax 10 Year Old



Copper Price vs Handysize 10 Year Old



LME Copper Price vs Panamax/Kamsarmax NB Price





TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
Dec-24	-4%	-1%	-15%	6%	-1.1%
Jan-25	-4%	-3%	-5%	11%	0.2%
Feb-25	-6%	-12%	-10%	9%	-4.1%
Mar-25	1%	-6%	-4%	14%	2.5%
Apr-25	1%	-6%	-6%	9%	1.1%
May-25	4%	-12%	1%	9%	0.3%
Jun-25	1%	-10%	-2%	8%	-0.8%
Jul-25	4%	2%	7%	12%	6.3%
Aug-25	5%	-2%	10%	5%	4.2%
Sep-25	4%	0%	20%	8%	5.2%
Oct-25	14%	-3%	-1%	4%	4.7%
Nov-25	6%	-3%	9%	7%	4.5%
Dec-25	12%	3%	21%	11%	9.9%
Jan-26	12%	-1%	14%	12%	8.1%
Feb-26	8%	-1%	9%	12%	7%
Mar-26	-7%	-4%	16%	6%	0%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
Dec-24	-5%	1%	Dec-24	6%	-1%	10%
Jan-25	-2%	2%	Jan-25	-8%	13%	12%
Feb-25	-7%	-2%	Feb-25	-10%	0%	9%
Mar-25	-2%	5%	Mar-25	-7%	-1%	11%
Apr-25	-1%	0%	Apr-25	-1%	5%	5%
May-25	1%	0%	May-25	-2%	4%	3%
Jun-25	-2%	0%	Jun-25	-1%	6%	6%
Jul-25	3%	7%	Jul-25	-1%	9%	-4%
Aug-25	-1%	6%	Aug-25	4%	10%	1%
Sep-25	4%	7%	Sep-25	8%	19%	-1%
Oct-25	14%	0%	Oct-25	0%	6%	6%
Nov-25	-1%	7%	Nov-25	3%	16%	0%
Dec-25	12%	8%	Dec-25	6%	4%	6%
Jan-26	11%	7%	Jan-26	9%	3%	6%
Feb-26	9%	5%	Feb-26	3%	12%	3%
Mar-26	-3%	2%	Mar-26	3%	-12%	12%



MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tells us.

Top left chart:

The BDI year-on-year change has moved into positive territory in the last months. As usual, lagging behind credit growth in China.

The credit growth rate has continued to fall over the last months, but remains positive.

Top right chart:

Except for a decoupling in 2024, the change in bond yields in China and the US has been a good leading indicator for dry bulk demand growth. Strong support for demand growth this year is suggested, but also a potential peak.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

Cheaper oil prices suggest the BDI could remain positive year-on-year throughout all of 2026. However, the recent increase in oil prices strongly suggests a downturn next year.

Middle right chart:

The OECD diffusion index momentum is stalling, which suggests weakening momentum for dry bulk markets from June onwards.

Bottom left chart:

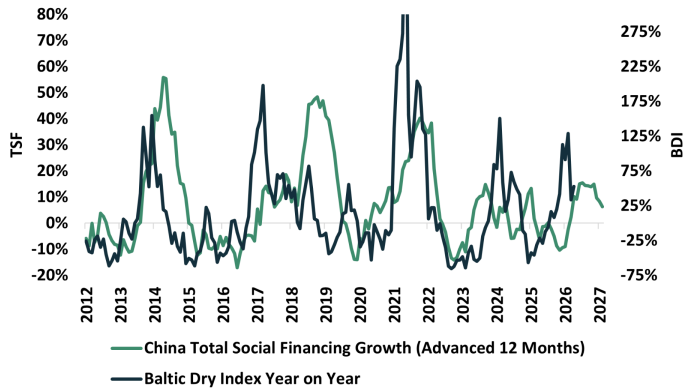
The OECD diffusion index correlation with the BDI is very high, as usual. The OECD index reading is comparable to previous cycle peaks.

Bottom right chart:

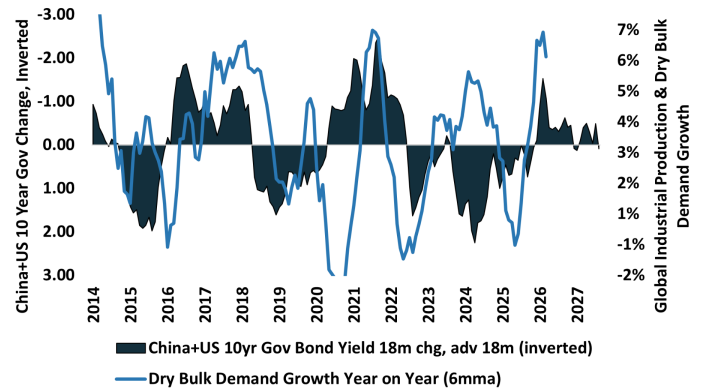
Bottom right chart:

The weakening dollar momentum has stalled in the last few months, along with what seems to be peak volume growth rate. High correlation as usual.

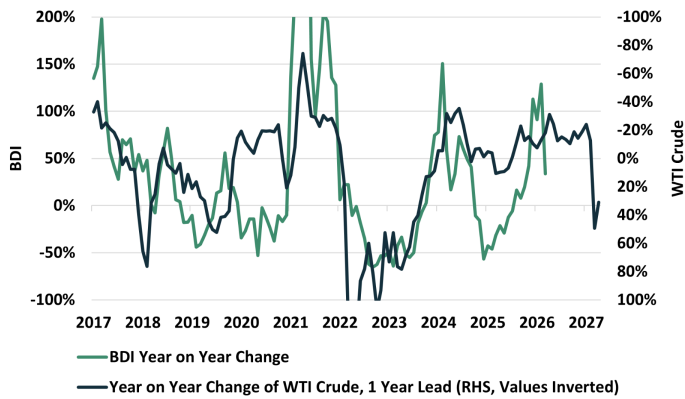
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



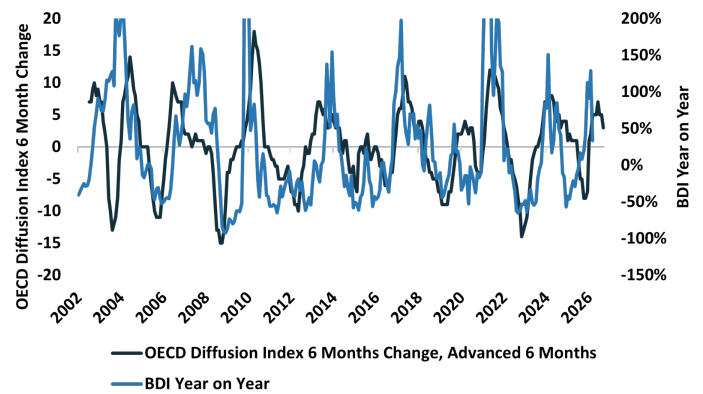
China + US Gov Bond Yield Change, 18 Months Lead. vs Dry Bulk Demand Growth



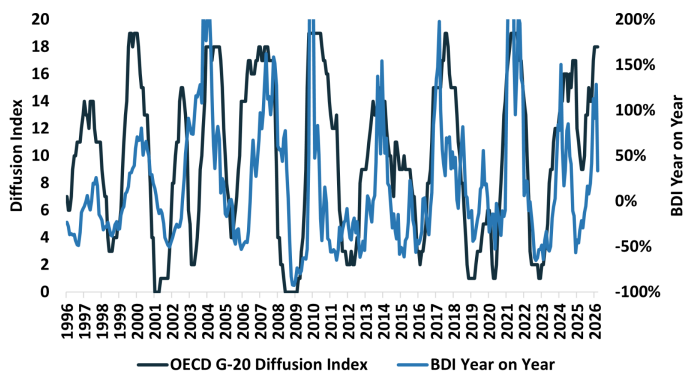
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



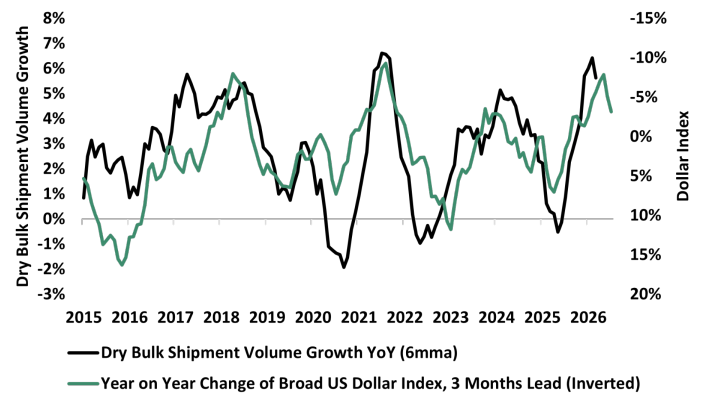
OECD Diffusion Index 6 Months Change vs BDI YoY



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



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